# Burger King – Leveraged Buyout (LBO) Model with DCF Cross-Check

Excel model · 2010 take-private deal setup (6/30 fiscal year end) · 5-year hold, exit at end of FY2015 · Management case · $ millions unless stated

🔗 Excel model with charts (sources and uses, debt schedule, returns, sensitivity, DCF): **https://drive.google.com/file/d/11bb50NvvGKyFst20hQzxUiuI9gLgfaTQ/view?usp=sharing**

**$24.00**
offer per share, a 27.3% premium to the $18.86 share price

**$3.89B**
enterprise value at 8.8x LTM EBITDA of $444.6M

**$1.56B**
sponsor equity, 36.5% of $4.27B total sources

**21.2% IRR**
and 2.62x money multiple on sponsor equity over 5 years

**$24.87**
DCF value per share, 3.6% above the offer price

## Sources and uses ($ millions)

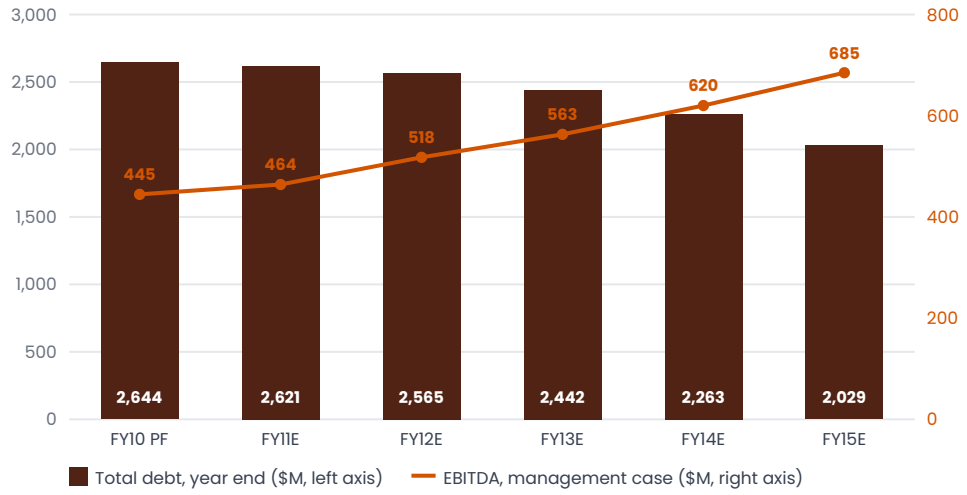
| Sources | Amount | x EBITDA | Uses | Amount |
|---|---|---|---|---|
| Secured term loan, USD (6.8%) | 1,510.0 | 3.4x | Equity purchase | 3,325.4 |
| Secured term loan, EUR (7.1%) | 334.2 | 0.8x | Debt refinancing | 755.4 |
| Senior notes (10.2%) | 800.0 | 1.8x | Transaction fees | 91.2 |
| Cash on hand | 69.4 | 0.2x | Financing fees | 69.2 |
| Sponsor equity | 1,560.0 | 3.5x | Other | 32.3 |
| **Total sources** | **4,273.6** | **9.6x** | **Total uses** | **4,273.6** |

Total debt of $2,644M is 5.9x LTM EBITDA. The revolver ($150M) is never drawn, and the revolver and balance checks read OK in every year.

## What the deal depends on

- **Margin expansion, not growth:** the management case has revenue falling 18.3% in FY12 and 10.4% in FY13, while EBITDA margin rises from 18.0% to 33.8% by FY15.
- **Deleveraging:** 100% of excess cash goes to the USD term loan, cutting total debt from $2,644M to $2,029M (2.96x FY15 EBITDA).

## Debt paydown and EBITDA growth




- **Returns:** exit at the same 8.8x multiple on FY15 EBITDA of $685M gives an enterprise value of $5,998M. Less net debt of $1,911M leaves $4,088M for the sponsor, against $1,560M invested.

Deal setup based on the 2010 Burger King take-private (latest share price as of 1 Sep 2010). Practice model built through a guided financial modelling course. Educational project only, not investment advice.

**Aditya Kushwaha · MBA Finance, Christ University**

# Operating Model, Returns Sensitivity and DCF Cross-Check

Burger King LBO · Management case · $ millions unless stated

## Operating model and cash available for debt paydown

| $ millions | FY11E | FY12E | FY13E | FY14E | FY15E |
|---|---|---|---|---|---|
| Revenue | 2,574 | 2,102 | 1,884 | 1,910 | 2,024 |
| **EBITDA** | **464** | **518** | **563** | **620** | **685** |
| EBITDA margin | 18.0% | 24.6% | 29.9% | 32.5% | 33.8% |
| Interest expense | 207 | 205 | 199 | 188 | 174 |
| Net income | 95 | 148 | 179 | 230 | 283 |
| Cash from operations | 214 | 214 | 266 | 324 | 385 |
| Capex | 183 | 149 | 134 | 136 | 144 |
| **Cash swept to USD term loan** | **23** | **56** | **123** | **180** | **234** |

## Returns at exit (end of FY2015)

| Item | $ millions |
|---|---|
| FY15 EBITDA × 8.76x exit multiple | 5,998.3 |
| Less: net debt (debt $2,029.0 less cash $118.2) | (1,910.8) |
| **Sponsor equity value at exit** | **4,087.5** |
| Sponsor equity invested | 1,560.0 |
| **Money multiple (MOIC) / IRR** | **2.62x / 21.2%** |

## IRR sensitivity: exit multiple × USD loan rate

| Exit multiple \ USD loan rate | 7.8% | 7.3% | 6.8% | 6.3% | 5.8% |
|---|---|---|---|---|---|
| 7.76x | 16.5% | 16.7% | 16.9% | 17.0% | 17.2% |
| 8.26x | 18.8% | 19.0% | 19.1% | 19.3% | 19.5% |
| 8.76x | 20.9% | 21.1% | **21.2%** | 21.4% | 21.5% |
| 9.26x | 22.9% | 23.1% | 23.2% | 23.4% | 23.5% |
| 9.76x | 24.8% | 24.9% | 25.1% | 25.2% | 25.3% |

Dark cell = base case. A 1.0x change in exit multiple moves IRR by about 4 points; a 1-point change in the loan rate moves it by under 0.5 points.

## DCF cross-check (WACC 10.0%, terminal growth 2.5%)

| Item | $ millions |
|---|---|
| PV of unlevered free cash flow, FY11–FY15 | 957.7 |
| PV of terminal value (76% of enterprise value) | 3,056.3 |
| **Enterprise value** | **4,013.9** |
| Equity value (less debt $755.4, plus cash $187.6) | 3,446.1 |
| **Value per share (138.56M diluted shares)** | **$24.87** |

## Key finding

- The base case returns 21.2%, above 20%, only if the exit multiple holds at about 8.8x or better; at 7.8x the IRR falls to about 17%. The DCF value of $24.87 supports the $24.00 offer as fair, not cheap.

Method: 100% cash sweep to the USD term loan; minimum cash $118.2M; diluted shares by the treasury stock method; IRR from entry and exit sponsor equity over 5 years.
Educational project only, not investment advice.

**Aditya Kushwaha · MBA Finance, Christ University**